Vertex Energy plc
Annual Report FY2023

Sector: Renewable Energy. All figures in US dollars. Fiscal year ends 31 March 2023. This is a synthetic document created for an educational capstone project.

Chairman's Letter to Shareholders

Dear shareholders, FY2023 was a year of disciplined execution for Vertex Energy plc. Revenue for FY2023 was $1,579.8 million, up 5.3% from $1,500.0 million in FY2022. Net income for FY2023 was $298.4 million and earnings per share were $2.94. The Board has recommended a dividend of $1.18 per share.

Our strategy for the coming year focuses on adding 600 MW of solar capacity, scaling battery storage and refinancing long-term debt. We remain committed to transparent reporting, prudent capital allocation and sustainable long-term value creation.

Management Discussion and Analysis

Gross profit for FY2023 was $647.2 million, giving a gross margin of 41.0%. Operating expenses were $204.2 million and operating income was $443.1 million. EBITDA for FY2023 was $496.2 million.

Net income improved from $292.0 million in FY2022 to $298.4 million in FY2023, a change of 2.2%. Interest expense was $45.3 million, reflecting the level of long-term debt of $695.7 million.

Segment performance: Solar Generation contributed $363.7 million; Wind Generation contributed $623.7 million; Energy Storage contributed $592.5 million.

Liquidity and Capital Resources

Cash and cash equivalents at year end were $211.5 million. Net cash from operating activities was $347.8 million and capital expenditure was $114.2 million, resulting in free cash flow of $233.6 million. Total current assets were $428.2 million against total current liabilities of $250.0 million.

Total assets were $2,042.4 million, total liabilities were $997.6 million and shareholders' equity was $1,044.8 million.

Principal Risks and Uncertainties

- Changes in government renewable-energy subsidies could reduce project returns.
- Higher interest rates increase the cost of financing new capacity.
- Weather variability affects generation volumes and revenue.
- Supply-chain constraints on solar panels and turbine components.

Outlook

For FY2024, management expects revenue growth of 3% to 9%, supported by adding 600 MW of solar capacity, scaling battery storage and refinancing long-term debt. Guidance assumes stable macroeconomic conditions.

Consolidated Income Statement

Line item ($ million)	FY2023	FY2022
Revenue	1,579.8	1,500.0
Cost of revenue	932.6	870.1
Gross profit	647.2	629.9
Operating expenses	204.2	193.6
Operating income (EBIT)	443.1	436.4
Depreciation & amortisation	53.0	65.7
EBITDA	496.2	502.1
Interest expense	45.3	47.1
Tax expense	99.5	97.3
Net income	298.4	292.0

Consolidated Balance Sheet

Line item ($ million)	FY2023	FY2022
Cash and cash equivalents	211.5	195.6
Total current assets	428.2	435.8
Total assets	2,042.4	1,883.6
Total current liabilities	250.0	226.8
Long-term debt	695.7	718.7
Total liabilities	997.6	1,017.9
Shareholders' equity	1,044.8	865.7

Consolidated Cash Flow Statement

Line item ($ million)	FY2023	FY2022
Net cash from operating activities	347.8	382.1
Capital expenditure	114.2	130.9
Free cash flow	233.6	251.2